Illustration 3

Bragathish and Naresh are partners who maintain their capital accounts under fixed capital method. From the following particulars, prepare capital accounts of partners.

Particulars	Bragathish ₹	Naresh ₹
Capital on 1st April 2018	4,00,000	6,00,000
Current account on 1st April 2018	20,000(Cr.)	15,000(Dr.)
Additional capital introduced during the year	50,000	Nil
Drawings made during the year	45,000	60,000
Interest on drawings	2,000	3,000
Share of profit for the year	80,000	1,20,000
Interest on capital	20,000	30,000
Commission	17,000	Nil
Salary	Nil	38,000

Solution

Dr. **Partners' Capital Account** **Cr.**

Date	Particulars	Bragathish ₹	Naresh ₹	Date	Particulars	Bragathish ₹	Naresh ₹
	To Balance c/d	**4,50,000**	**6,00,000**		By Balance b/d	4,00,000	6,00,000
					By Bank A/c (Additional capital)	50,000	-
		4,50,000	6,00,000			4,50,000	6,00,000
					By Balance b/d	4,50,000	6,00,000

Dr. **Partners' Current Account** **Cr.**

Date	Particulars	Bragathish ₹	Naresh ₹	Date	Particulars	Bragathish ₹	Naresh ₹
	To Balance b/d	-	15,000		By Balance b/d	20,000	-
	To Drawings A/c	45,000	60,000		By Profit and loss appropriation A/c (share of profit)	80,000	1,20,000
	To Interest on drawings A/c	2,000	3,000				

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